

However, if you're considering cashing the bond out *before* 10 years are up, just know that there are tax implications, and you should talk to both the bond provider and (potentially) your accountant.

Our kid just inherited a lump sum from a grandparent who passed away; how should we manage that?

An investment bond is a very strong option in this case. So is sitting down and explaining to your child that this money doesn't come without responsibility: they need to honour their grandparent's legacy by becoming a good money manager.

What about getting my kid into their first car?

Let me come out and say it: I think buying a car for your kid is financial child abuse.

I found my first car rusting in a farmer's paddock. It was a 1966 XP Falcon, painted cream with a roller and some leftover house paint. My parents didn't pay for the car; rather, it was a father and son project to do it up. And it turned out to be the ultimate way to teach me about saving. That's why my humble—but totally correct!—view is that if you buy a car for your kid, you're damaging them.

So, sit down with your teen and explain that if they want a car (or other big item, like a holiday) when they turn 18, they're going to have to start saving for it right now.

I want to send my kids to a private school—how much should I be saving?

As much as you can, as soon as you can.

The *Australian Financial Review* reported that a quarter of parents borrow for their kids' private school education, and one in seven run up debt on a credit card to pay for school fees.

Look, the biggest predictor of your kids' happiness and success in life is how much time you spend with them, *not* the school they go to. Yet the irony is, parents often work extra jobs just to pay the fees. Personally I'd